Company First Lien and Refunding Mortgage Bonds may not be issued, except for refunding purposes, unless consolidated net earnings for a recent 12-month period have been at least $1^3/_4$ times the annual interest charges on the aggregate bonded indebtedness of the company, including those to be issued. In the case of Wheeling Steel Corporation First Mortgage bonds the required ratio is 2 times.[3]

Provisions of this kind with reference to earnings-coverage are practically nonexistent in the railroad field, however. Railroad bonds of the blanket-mortgage type more commonly restrict the issuance of additional bonds through a provision that the total funded indebtedness shall not exceed a certain ratio to the capital stock outstanding, and by a limitation upon the emission of new bonds to a certain percentage of the *cost* or *fair value* of newly acquired property. (See, for example, the Baltimore and Ohio Railroad Company Refunding and General Mortgage Bonds and the Northern Pacific Railway Company Refunding and Improvement Bonds.) In the older bond issues it was customary to close the mortgage at a relatively small fixed amount, thus requiring that additional funds be raised by the sale of junior securities. This provision gave rise to the favorably situated "underlying bonds" to which reference was made in Chap. 6.

In the typical case additional issues of mortgage bonds may be made only against pledge of new property worth considerably more than the increase in debt. (See, for examples: Youngstown Sheet and Tube Company First Mortgage, under which further bonds may be issued to finance 75% of the cost of additions or improvements to the mortgaged properties; New York Edison Company, Inc., First Lien and Refunding Mortgage, under which bonds may be issued in further amounts to finance additions and betterments up to 75% of the actual and reasonable expenditure therefor; Pere Marquette Railway Company First-mortgage bonds, which may be issued up to 80% of the cost or fair value, whichever is the lower, of newly constructed or acquired property.)

These safeguards are logically conceived and almost always carefully observed. Their practical importance is less than might appear, however, because in the ordinary instance the showing stipulated would be needed anyway in order to attract buyers for the additional issue.

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[3] For similar provisions in the case of preferred stocks see Consolidated Edison Company of New York $5 Preferred, General Foods Corporation $4.50 Preferred and Gotham Silk Hosiery Company 7% Preferred.